BWET

BREAKWAVE ADVISORS

Tanker Shipping

December 3, 2024

Breakwave Tanker Futures Index:	1,082	VLCC Middle East-Asia Spot Rates:	9.77	Short-term Indicators:	
↑ 30D: -10.0%		↑ 30D: -12.6%		Momentum:	Neutral
↑ YTD: -10.8%		↓ YTD: -17.1%		Sentiment:	Neutral
↑ YOY: -18.6%		↑ YOY: -39.6%		Fundamentals:	Neutral

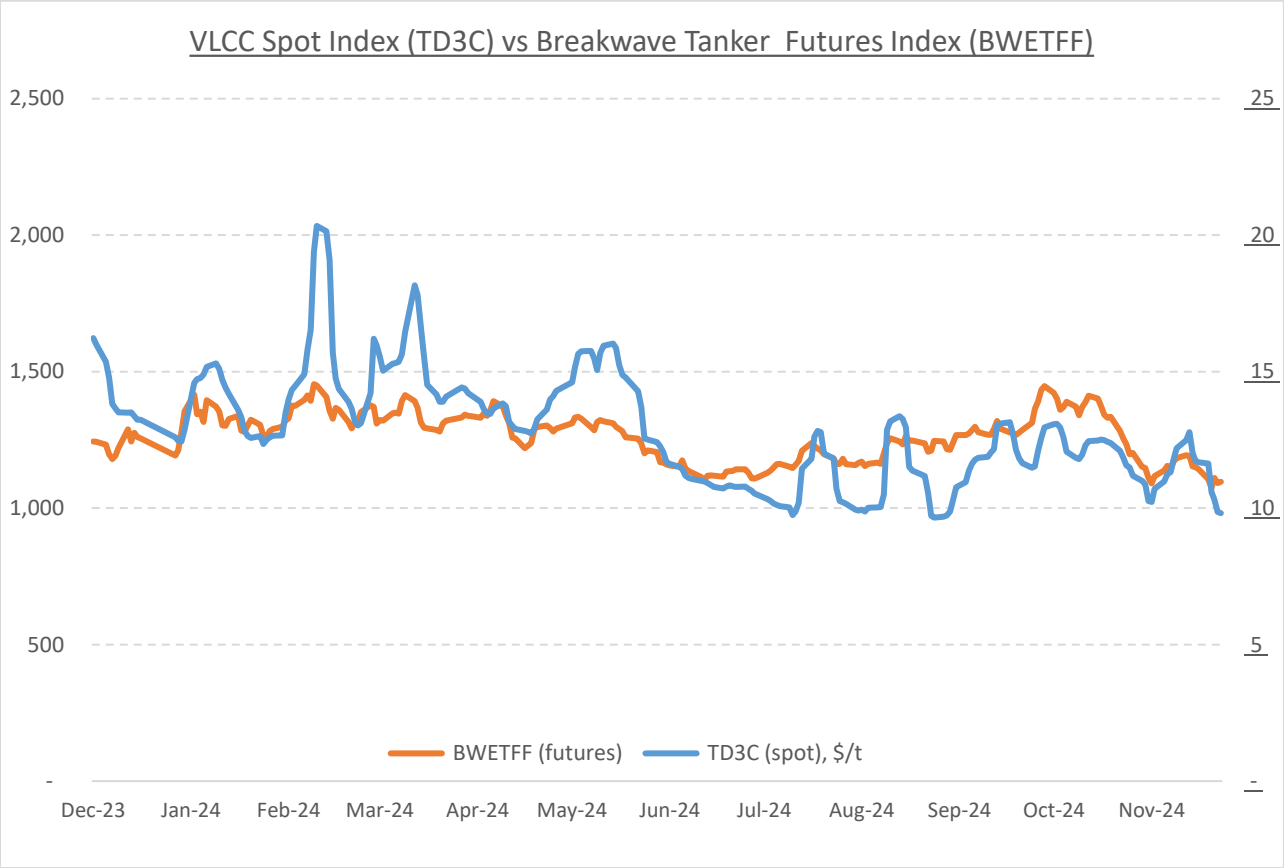
Bi-Weekly Report

- **VLCC Freight Market Struggles Amid Weak Demand; Hopes Pinned on China's Import Rebound –** The VLCC (Very Large Crude Carrier) dirty freight market **experienced significant challenges** in late November, with rates in the Arabian Gulf (AG) dropping to **new annual lows**. This decline was primarily driven by an oversupply of vessels and subdued demand, particularly for loading windows in the second half of December. While **shipowners remain optimistic** that the market has reached its floor, a meaningful recovery appears distant, with uncertainty persisting in the near term. In contrast, the West African VLCC market displayed some resilience, supported by increased activity. However, rates in this region also faced downward pressure as eastern ballasters redirected to the Atlantic, seeking to escape the weaker markets in the East. Looking ahead, the VLCC market's **prospects may gain support** from a recovery in Chinese crude oil imports. China recently issued an additional crude oil import quota of 5.84 million metric tons (approximately 116,800 barrels per day) for independent refiners, targeting deliveries through late 2024 and early 2025. These quotas are expected to bolster import volumes, particularly with competitive pricing from Iraq and Saudi Arabia. The **anticipated rebound in Chinese imports** could improve market sentiment and offer **some relief** to owners looking for a rate recovery in the months ahead. Despite these developments, current crude tanker rates remain **exceptionally low for the winter season**. And any signs of tightening tonnage availability in the critical AG market could **trigger a rapid increase** in spot rates.

- **All Eyes on OPEC+ Meeting as Chinese Tepid Demand Makes Expected Productions Increases Tricky –** Despite an anticipated increase in China's crude oil imports in November—largely attributed to low oil prices from three months prior—we believe that **China's crude oil** demand has likely reached **its peak**. While overall oil demand in the country is expected to grow next year, this **growth** will be driven **primarily by oil-related gas** products rather than crude oil. The two main contributors to crude oil demand—**diesel and gasoline**—are projected to experience **gradual but modest declines**. This trend reflects the structural shift toward electric vehicles (EVs) and the adoption of more fuel-efficient vehicles, which are beginning to impact crude oil imports. Globally, while oil consumption is expected to remain above 100mbpd for the foreseeable future, the **pace of growth is slowing significantly**. OPEC+ faces a challenging decision in this environment. Our assessment suggests that the organization may adopt a strategy similar to the 2015–2017 period, prioritizing market share over price stability. This approach is **unlikely** to involve **abrupt or dramatic shifts** but could lead to a gradual decline in oil prices as OPEC+ increases exports. Such a move would pressure high-cost producers—particularly in the U.S.—to reduce production in response to lower prices. Furthermore, we anticipate the **oil futures curve to flatten** and eventually shift into **contango**, a price structure that could **benefit crude oil tankers**.

- **Our Long-term View –** The tanker market is recovering from a long period of staggered rates as the growth in new vessel supply shrinks while oil demand remains elevated in line with the global economy. A historically low orderbook combined with favorable shifting trade patterns should continue to support increased spot rate volatility, which combined with the ongoing geopolitical turmoil, should sustain freight rates in the medium to long term.

The Baltic TD3C Index measures the spot rate in USD per ton for Very Large Crude Carriers (VLLCC) operating in the Middle East to Asia route. The Breakwave Tanker Futures Index (BDRYFF) is designed to track freight futures contracts with a sector weighting of 90% VLCC TD3C and 10% Suezmax TD20 and a weighted average maturity of approximately 50-70 days.



Tanker Fundamentals

Demand	**YTD**	**YOY**
World Oil Demand	104,390 kbpd	0.9%
Oil Supply, OPEC	26,900 kbpd	-4.6%
Oil Supply, non-OPEC	68,630 kbpd	1.7%
OECD Total Crude Oil Stocks	1034.3 MMbls	0.3%
US Crude Oil Exports	37.3 MMbls	2.7%
China Oil Imports	457.1 MMbls	-3.5%
Global Crude Oil Floating Storage	68.7 MMbls	3.0%

Supply		
Tanker Fleet	694.5 mdwt	0.9%

Freight Rates		
VLCC Middle East-Asia, USD/ton	12.77	-9.7%
Suezmax West Africa-Europe, USD/ton	17.22	-14.2%

Note: All numbers as of latest available; Imports/Exports/Production are YTD sums as of latest reported; Inventories/Fleet are weekly totals
Sources: Bloomberg, IEA, Clarksons and Breakwave Advisors

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Contact:
Breakwave Advisors LLC
17 State Street, 40th floor
New York, NY 10004
Tel: +(1) 646 775 2898
Email: research@breakwaveadvisors.com